

SERVICE LEVEL AGREEMENT

entered into between

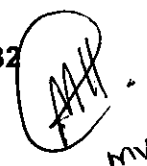
THE CITY OF TSHWANE METROPOLITAN MUNICIPALITY

(Hereafter referred to as the "City") duly represented by: **Mr. Musa Khumalo** in his capacity as **Group Head: Shared Services** and duly authorised hereto.

AND

SITHEMBE TRANSPORTATION AND PROJECTS (PTY) LTD

(Registration number: 2013/029173/07) hereafter referred to as the "Service Provider" and herein represented by **Mr Muzi Vincent Lukhele** in his capacity as a **Director** and duly authorised hereto.



mv

SERVICE LEVEL AGREEMENT

entered into between

THE CITY OF TSHWANE METROPOLITAN MUNICIPALITY

a municipality as described in section 2 of the Local Government: Municipal Systems Act, 2000 and as contemplated in section 155 of the Constitution of the Republic of South Africa, 1996 as a category A municipality, or the Assignee, if applicable, herein represented by **Mr. Musa Khumalo** in his capacity as **Group Head: Shared Services** duly authorised thereto under and by virtue of a sub-delegation, and who by his signature hereto warrants that he/she is properly authorised to sign this Agreement. (Herein referred to as the "**CITY**")

AND

SITHEMBE TRANSPORTATION AND PROJECTS (PTY) LTD

(Registration number: 2013/029173/07) herein represented by **Mr Muzi Vincent Lukhele**, in his capacity as a **Director** duly authorised thereto under and by virtue of a Resolution of the Board passed on **16 May 2024**, a copy of which is annexed as "Annexure A", and who by his/her signature hereto warrants that he/she is properly authorised to sign this Agreement. (Herein referred to as the "**SERVICE PROVIDER**")



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ANNEXURE “A” RESOLUTION OF THE BOARD

ANNEXURE “B” SCOPE OF WORK

ANNEXURE “C” APPOINTMENT LETTER

RECORDAL:

WHEREAS the City requires the Service Provider to rent the City general construction machines and refuse removal vehicle as and when required for a period of three (3) years;

AND WHEREAS the City wishes to appoint Sithembe Transportation and Projects (Pty) Ltd;

AND WHEREAS the Service Provider wishes to provide such services;

AND WHEREAS the Service Provider has indicated that it has the necessary expertise, skills and capabilities to provide the Service/s;

NOW THEREFORE the Parties have agreed to enter into this Agreement, in terms of which Sithembe Transportation and Projects (Pty) Ltd shall provide the Services in the Service Areas and/or Delivery Area to the City in accordance with the terms and subject to the conditions of this Agreement:

1 DEFINITIONS

Unless otherwise expressly stated, or the context otherwise requires, the words and expressions listed below shall, when used in this Agreement, including this introduction, bear the meanings ascribed to them:

- 1.1 **“Agreement”** means this Service Level Agreement and shall include any annexures and/or schedules and/or attachments and/or appendices and/or any addenda hereto or incorporated herein by reference, as amended from time to time;
- 1.2 **“Business Day”** means any day from Monday to Friday excluding Public Holidays as defined in the Public Holidays Act 36 of 1994 (“Public Holidays Act”) as amended from time to time;
- 1.3 **“Business Week”** means five consecutive Business Days, excluding Public Holidays as defined in the Public Holidays Act;

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- 1.4 **“City”** means the City of Tshwane Metropolitan Municipality, a metropolitan municipality established in terms of section 12 of the Local Government: Municipal Structures Act 117 of 1998;
- 1.5 **“Contact Persons”** means persons identified by the Parties as persons who are responsible for the execution of the Agreement and whose names are set out in clause 28 below and who can be substituted in writing from time to time;
- 1.6 **“Contract Price”** shall mean the amount reflected as the contract price in clause 9 below;
- 1.7 **“Contract Period”** means the period of 3 years from the Effective Date as stated in the Appointment Letter dated 25 April 2024 attached herewith as **Annexure “C”**;
- 1.8 **“Effective Date”** means the 01 May 2024 as per the attached Appointment Letter or 14 July 2024;
- 1.9 **“Intellectual Property”** means Patents, Designs, Know-How, Copyright and Trade Marks and all rights having equivalent or similar effect which may exist anywhere in the world, introduced and required by either Party to give effect to their obligations under this Agreement, owned in whole or in part by, or licensed to either Party prior to the Commencement Date or developed after the Commencement Date, and includes all further additions and improvements to the Intellectual Property, otherwise pursuant to this Agreement;
- 1.10 **“Month”** means a calendar month;
- 1.11 **“Parties”** means City and Service Provider and **“Party”** means either of them as the context requires;
- 1.12 **“Services”** means services to be provided by the Service Provider to the City as detailed in clause 8 below;
- 1.13 **“Service Provider”** means Sithembe Transportation and Projects (Pty) Ltd a company duly incorporated in accordance with the company laws of the Republic of South Africa with the following registration number: 2013/029173/07;
- 1.14 **“Signature Date”** means the date of signature of this Agreement by the Party signing last;
- 1.15 **“Subcontract”** means any contract or agreement or proposed contract between the Service Provider and any third party whereby that third party agrees to provide to the Service Provider the Services or any part thereof;

- 1.16 **“Subcontractor”** means the third party with whom the Service Provider enters into a Subcontract;
- 1.17 **“Tax Invoice”** means the document as required by section 20 of the Value Added Tax Act 89 of 1991, as amended from time to time; and
- 1.18 **“VAT”** means Value Added Tax as defined in terms of the Value Added Tax Act of 1991.

2 INTERPRETATION

- 2.1 Headings and sub-headings are inserted for information purposes only and shall not be used in the interpretation of this Agreement.
- 2.2 Unless the context clearly indicates a contrary intention, any word connoting:
- 2.2.1 any singular shall be deemed to include a reference to the plural and vice versa;
 - 2.2.2 any one gender shall be deemed to include a reference to the other two genders; and
 - 2.2.3 a natural person shall be deemed to include a reference to a legal or juristic person.
- 2.3 The expiry or termination of this Agreement shall not affect provisions of this Agreement which expressly provide that they will operate after any such expiry or termination of this Agreement. Provisions of necessity shall continue to have been effective after such expiry or termination of this Agreement, notwithstanding that the clauses themselves do not expressly provide for this.
- 2.4 The rule of interpretation that a written agreement shall be interpreted against the party responsible for the drafting or preparation of that Agreement shall not apply.
- 2.5 Where figures are referred to in numerals and in words and there is any conflict between the two, the words shall prevail.
- 2.6 Any reference to any legislation is a reference to such legislation as at the Signature Date and as amended or re-enacted, from time to time.
- 2.7 If any provision in a definition is a substantive provision conferring any rights or imposing any obligations on any party, then notwithstanding that, it is only in this interpretation clause, effect shall be given to it as if it were a substantive provision in this Agreement.



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3 APPOINTMENT

The City hereby appoints the Service Provider, who accepts such appointment, to provide the Services in accordance with the Appointment Letter and the Scope of Work attached herein as **Annexure “C”** and **“B”** respectively and in terms and subject to the conditions of this Agreement.

4 PURPOSE OF THE AGREEMENT

4.1 The Purpose of this Agreement is to:

- 4.1.1 formalise and regulate the working relationship between the Parties;
- 4.1.2 set out the roles and responsibilities of the Parties; and
- 4.1.3 define process and procedures to be followed by the Parties.

5 RELATIONSHIP

Nothing in this Agreement shall constitute, or be deemed to constitute a partnership or joint venture between the Parties. Furthermore, the Service Provider acknowledges and agrees that its status under this Agreement is that of an independent service provider and its status shall in no way be deemed to be that of an agent or employee of the City, for any purpose whatsoever, and the Service Provider shall have no authority or power to bind the City or to contract in the name of the City, or create a liability against the City in any way or for any purpose.

6 DURATION

This Agreement shall commence on the Effective Date and shall subsist for a period of three (3) years, unless terminated earlier pursuant to clause 25 below.

7 CONTACT PERSON

- 7.1 The work to be performed by the Service Provider hereunder will be supervised by City's Contact Person referred to in clause 28 below.
- 7.2 The Parties shall notify each other, in writing from time to time, of the details of their nominated Contact Person.
- 7.3 The Contact Persons shall liaise and update each other on the progress of the Services rendered and shall endeavour to resolve and remedy any problems or disputes that may arise in relation to the Services.

- 7.4 Either Party may substitute a Contact Person at its discretion provided that each Party shall give the other Party reasonable notice of such substitution and will provide replacement employees of equivalent ability.
- 7.5 Without derogating from the foregoing, should either Party replaces a Contact Person for any reason whatsoever, it shall ensure, to the greatest extent possible in the circumstances, that the suitable period of hand-over and overlap takes place, at its cost, between the new and the encumbered Contact Person.

8. SCOPE OF GENERAL SERVICES

The Service Provider shall, for the duration of this Agreement rent to the City general construction machines and refuse removal vehicle as and when required for a period of three (3) years as indicated in the attached Scope of Work attached herein as **Annexure "B"** read with the Appointment Letter attached herein as **Annexure "C"**.

9. PRICE AND PAYMENT

- 9.1 The City shall pay the Service Provider for the service rendered and or vehicles provided as indicated in the Appointment Letter attached herein as **Annexure "C"**.
- 9.2 All payments under this Agreement shall be made by electronic fund transfer or other forms of payment as the Parties may agree from time to time, upon receipt of valid and undisputed Tax Invoices and month-end statements together with the supporting documentation from the Service Provider, once the undisputed Tax Invoices or such portion of the Tax Invoices which are undisputed become due and payable.
- 9.3 All amounts and other sums payable in terms of this Agreement and Schedules hereto will be stipulated exclusive of VAT, unless expressly stated otherwise.
- 9.4 Unless otherwise provided in the Schedules, valid Tax Invoices shall be submitted together with a month-end statement. Payment against such month-end statement shall be made by the City within 30 (thirty) days after the date of receipt by the City of the Service Provider's statement together with the relevant valid and undisputed Tax Invoice(s) and supporting documentation, but in any event not later than 90 (ninety) days of receipt of such statement.
- 9.5 There shall be no interest levied on a Tax Invoice that is in dispute between the Parties.

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- 9.6 The City shall pay the amount reflected on a Tax Invoice once the City's Contact Person has verified that the Services set out in a schedule have been rendered and the Tax Invoice amount has been approved by the City.
- 9.7 All Tax Invoices shall be addressed to the City's Contact Person.
- 9.8 All payments shall be transferred, by the City to the Service Provider electronically into the Service Provider's bank account, the details of which are set out below:

Bank: Standard Bank

Account type: Current account

Account No: 411437577

Branch No: 002345

Branch: Menlyn Park

- 9.9 Failure to comply with the clauses above may result in late payment of the total amount of an invoice by the Service Provider to the City. The City shall not be liable for any costs or damages suffered by the Service Provider as a result of such late payment.

9.10 Payment of Landfill fees

- 9.10.1 All Service Providers contracted with the City to render waste management services are expected to pay landfill disposal fees for the use of City landfill sites for disposal. The fees must be deducted from the monthly invoice payable.
- 9.10.2 Payments are calculated based on the approved tariff structure for the year under operation. Calculations are to be made with reference to the recorded loads as captured on the transaction sheets for the month under liability.
- 9.10.3 The following vehicles are liable for payment of landfill fees:
- 10.3.1 Item 28 - 19m³ rear end loader waste compaction truck;
 - 10.3.2 Item 29 - 12m³ rear end loader waste compaction truck;
 - 10.3.3 Item 30 - rear end loader waste compaction truck with 5.5m³ skip container lifter;
 - 10.3.4 Item 31 - CWS industrial side loader compaction truck;

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10.3.5 Item 32 – Loader lugger (with swing-on skip loader);

10.3.6 Item 33 – Container handling truck, 6x4 (hook lift);

10.3.7 Item 34 – Container handling truck, 6x6 (hook lift); and

10.3.8 Item 35 – 7/8 ton dropside truck.

10 SERVICE LEVELS

10.1 The Service Provider recognises that the City has entered into this Agreement relying specifically on the Service Provider's representations regarding service levels including, inter alia:

10.1.1 capacity allocations in accordance with the Service to be provided;

10.1.2 all work to be performed and Services rendered under this Agreement shall comply with industry norms and best practice acceptable within the Services industry and shall be executed by the Service Provider to the total satisfaction of the City.

10.2 The Service Provider shall provide suitably qualified and trained employees to provide the Services to the City in terms of this Agreement, and shall allocate, in its discretion employee resources in accordance with the technical skill and knowledge required, provided that any exercise of such discretion by the Service Provider shall not negatively impact on the provision of the Services by the Service Provider to the City, and shall allocate employees with the technical skill and knowledge onsite at the City at all times during normal working hours, if the City so requires.

10.3 Amongst others, the Service Provider shall comply with and provide the Services as set out in clause 8 above.

11 WITHHOLDING OF PERFORMANCE AND CONTRACTORS' PERFORMANCE

With holding of performance

11.1 The Service Provider may not under any circumstances, including, without limitation, non-payment by the City, withhold any Services from the City during the currency of this Agreement, unless it validly terminates this Agreement in terms of clause 25 below.

Contractors' performance

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11.2 In terms of this Agreement the Service Provider is expected to ensure high level of performance based on performance expectation indicated below:

11.2.1 On provision that the Service Provider is providing Services on garden waste sites, it is expected that the Service Provider provide a minimum of 5 (five) loads per day;

11.2.2 The Service Providers providing waste collection Services are expected to ensure that VEM lifters are in good working condition and are operational at all times. It is required that all service providers start work in the allocated area at 7 (seven) o'clock in the morning, if the service provider is unable to start on a stated time penalties will be levied for each hour being late;

11.2.3 In any event of a breakdown or standing time the Service Provider only has twelve (12) hours to restore the equipment or provide an alternative VEM;

11.2.4 In instance that the Service Provider is unable to restore the VEM within the prescribed hours as stated above. The Service Provider will be liable for a penalty equivalent to hourly rate of their current rate, levied on each hour in which the Service Provider is unable to restore the VEM;

11.2.5 The Service Provider should ensure that the areas/work allocated is completed within the 8 (eight) hours. In instances that the Service Provider had delays in completing the work the Service Provider is obliged to inform the City official with the catch-up plan that will not exceed twelve (12) hours after the normal 8 (eight) hours;

11.2.6 If the Service Provider fails to perform within 24 (twenty-four) hours, the City reserves its rights to replace the respective Service Providers with another Service Provider.

11.2.7 If the Service Provider is rendering waste collection Services (bin lifting) it remains the responsibility of the service provider to collect all bins in the allocated areas. In instances where the Service Provider fails or leave a bin behind in the allocated area, the Service Provider will be liable for a penalty of R700 (Seven Hundred) for each bin left behind;

11.2.8 If the Service Provider is rendering waste collection Services (bin lifting) it remains the responsibility of the service provider to collect all bins in the allocated areas. After bin lifting, the bin must be returned right where it was found, and the area must be left tidy. In instances where the Service Provider

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fails or leave a bin behind in the allocated area, the Service Provider will be liable for a penalty of R700 (Seven Hundred) for each bin left behind;

11.2.9 The Service Provider will be responsible for damage caused to bin(s) as a result of rendering the service recklessly. The penalty will be the current value of the bin as per the approved tender for provision of waste containers;

11.2.10 The Service Provider is expected to submit invoices with supporting documents (monitoring sheets) and EPWP supporting documents by the 5th day of the month. Failure to submit the invoice and required supporting documents on time will result in termination of the allocation as this has implications on financial management, audit findings and overall performance of the City; and

11.2.11 Service Providers are expected to comply with Occupational Health and Safety Act (1993) and keep a Health and Safety file and submit the file when required. The Service Provider is required to provide workers with identifiable PPE.

12 PENALTY

12.1 Should the Service Provider fail to comply with its obligations in terms of this Agreement, the City may:

12.1.1 exercise its rights in terms of clause 24 below; alternatively

12.1.2 impose a penalty on the Service Provider.

12.2 An election of any of the above by the City shall not mean that the City has waived any other rights which the City might have in law.

12.3 Should the City elect to impose a penalty on the Service Provider, the City shall provide the Service Provider with a written notice requiring the Service Provider to remedy the default within 7 (seven) days from the date of delivery of the notice.

12.4 Should the Service Provider fail to remedy the default within 7 (seven) days after receiving the notice, then the City shall be entitled, without prejudice to any alternative or additional right of action or remedy available to the City and without further notice, impose a penalty, which penalty shall be a deduction of 10% of the monthly invoice for the Contract Period; and for the avoidance of doubt, the penalty amount shall be 10% of the monies due for payment to the Service Provider monthly in terms of clause 9 above.

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- 12.5 Should there be a dispute as to whether the failure to deliver was caused by the City or was the Service Provider's fault such dispute shall be dealt with in accordance with clause 26 below.

13 ACCESS

- 13.1 The City shall allow the Service Provider reasonable access to its premises, provided that:

13.1.1 access is related to the Services to be provided by the Service Provider; and

13.1.2 the Service Provider adheres to all rules, regulations and instructions applicable at the City's premises.

- 13.2 The Service Provider is required to notify the City monthly of employees who are to provide Services at the Service Areas;

- 13.3 The City shall grant the Service Provider and/or its employees, referred in clause 13.2 above, access to its premises to perform its obligations in terms of this Agreement.

- 13.4 The Service Provider and its employees shall at all time when entering the premises and/or Service Areas of the City comply with all rules, laws, regulations and policies of the City.

14 INSPECTION

- 14.1 The City may at any time inspect the Services levels of the Service Provider in terms of this Agreement.

- 14.2 If the City is, at any time, dissatisfied with the service levels then the Service Provider shall, within 7 (seven) days, notify the Service Provider in writing of the failure or default.

- 14.3 The Service Provider shall immediately upon receipt of written demand by the City, remedy such failure or default, within 7 (seven) Business Days from the date of receipt of the notice, free of charge.

- 14.4 Should the Service Provider fail to remedy the failure or default referred to above then the City shall have the right to impose penalties as provided for in clause 12 above or invoke the provisions of clause 24 below.

- 14.4.1 To enable the City to determine whether the Services rendered in terms of this Agreement are being complied with the Service Provider shall:

- 14.4.1.1 provide the City with such information as it may reasonably require;
- 14.4.1.2 allow the City to inspect and take copies of any records of the Service Provider relating to the Services, including all hardware, software, data, information, visuals, procedures, event logs, transaction logs, audit trails, books, records, contracts and correspondence;
- 14.4.1.3 allow the City or its authorised representatives to conduct interviews with any of the Service Provider's employees, subject to reasonable notice being given to the Service Provider.

14.5 Service Provider to Provide Reasonable Assistance

- 14.5.1 Where any information is required for inspection in terms of this clause and the information is kept in a computer, the Service Provider shall give the City reasonable assistance required to facilitate inspection and obtain copies of the information in a visible and legible form or to inspect and check the operation of any computer and any associated apparatus or material that is or has been in use in connection with the keeping of the information.
- 14.5.2 Any information required to be provided to the City pursuant to this clause 14 shall be provided by the Service Provider, as the case may be in such form (including a form otherwise than in writing) as the City may reasonably specify.
- 14.5.3 The cost of any inspection contemplated in terms of this clause 14 shall be for the account of the City unless any material irregularity or failure on the part of the Service Provider is determined by the City in the course of such inspection.

14.6 The inspection contemplated in this Agreement will be conducted:

- 14.6.1 during normal business hours;
- 14.6.2 save where the circumstances justify it, on reasonable notice to the Service Provider; with the minimum interference in the provision of the Services and the Service Provider's other operations.

15 SERVICE PROVIDER'S WARRANTIES AND INDEMNITIES

15.1 Service Warranties

- 15.1.1 The Service Provider warrants that in relation to each Service provided in terms of this Agreement:

- 15.1.1.1 it has full capacity and authority to enter into and perform this Agreement, and that this Agreement is executed by duly authorised representatives of the Service Provider;
- 15.1.1.2 it possesses or has access to the requisite knowledge, skill and experience to provide the Services in an expert manner;
- 15.1.1.3 it will discharge its obligations under this Agreement and any annexure, appendix or Schedule hereto with all due skill, care and diligence;
- 15.1.1.4 that all work performed and Services rendered under this Agreement shall comply with prevailing practice, standards and specifications within the field;
- 15.1.1.5 it will be solely responsible for the payment of remuneration and associated benefits, if any, of its Personnel and for withholding and remitting income tax for its personnel in conformance with any applicable laws and regulations;
- 15.1.1.6 that the use or possession by the City of any document/s will not subject the City to any claim for infringement of any Intellectual Property Rights of any third party;
- 15.1.1.7 that it will with promptness and diligence and in a skilful manner and in accordance with the practices and professional standards of operations while performing Services;
- 15.1.1.8 that the Services will in all aspects comply with industry norms and best practice to the satisfaction of the City with regard to materials and workmanship;
- 15.1.1.9 it will use and adopt any standards, processes and procedures required under this Agreement;
- 15.1.1.10 it warrants that it shall employ suitably qualified and trained employees to provide the Services to the City and it shall allocate employees in accordance with the technical skill and knowledge required;
- 15.1.1.11 that the Services will be free from any defects in material and workmanship;

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15.1.1.12 it will maintain and cause to be maintained the highest standard of workmanship and care in undertaking the Services; and

15.1.1.13 that it will ensure that all applicable laws are observed.

15.2 INDEMNITY

15.2.1 The Service Provider hereby indemnifies the City against any claim which may be brought against the City by the Service Provider's personnel or a third party arising from the execution of this Agreement alternatively which arises against the City as a result of the Service Provider's breach of any of the provisions of this Agreement, provided that the City shall notify the Service Provider in writing within a reasonable time, and in any event not less than 14 (fourteen) Business days of the City becoming aware of any such claim to enable the Service Provider to take steps to contest it and shall provide the Service Provider with such reasonable assistance as may be necessary to enable the Service Provider to defend the claim to the extent only that it is in a position to render such assistance. The Service Provider may, within 5 (five) Business Days of receipt of written notice from the City aforesaid, elect in writing to contest such a claim in the name of the City and shall be entitled to control the proceedings in regard thereto, provided that the Service Provider indemnifies the City against all and any costs (including attorney and own client costs) which may be incurred by or awarded against the City as a consequence of the defence of the claim.

16 SERVICE PROVIDER'S PERSONNEL

16.1 Liability for Criminal Acts of Employees

The Service Provider shall be liable to the City for any loss that the City or any third party may suffer as a result of any theft, fraud or other criminal act of any employee of the Service Provider which arises within the course and scope of such employees' employment with the Service Provider.

16.2 Character of Employees

16.2.1 Due to the confidential nature of certain aspects of the Services and the position of trust which the Service Provider's employees will fulfil, the Service Provider hereby undertakes to use its best commercial endeavours to ensure that it only assigns to the City employees who are fit and proper persons and who display the highest standards of personal integrity and honesty and who have not, to their knowledge, being convicted of any crime.

16.2.2 The Service Provider shall, at its own cost, conduct all reasonable background checks into members of its employees prior to utilizing same to provide the Services in terms of this Agreement.

16.3 The City shall conduct all reasonable background checks into the Service Provider's employees from time to time, where it deems it necessary to do so.

17 STATUTORY AND EMPLOYMENT ISSUES

17.1 The Service Provider shall comply with all employment legislation

17.1.1 The Service Provider warrants that it has full knowledge of all relevant statutory, collective and other stipulations applicable to the relationship with its personnel and its relationship with the City. This includes, but is not limited to, the Labour Relations Act, the Basic Conditions of Employment Act, 1977, the Employment Equity Act, 1998 and any other applicable employment legislation currently in force.

17.1.2 The Service Provider warrants further that it is not and will not in future be in contravention of any of the provisions of any such legislation and in the event of such contravention, the Service Provider shall immediately take all steps to remedy such contravention. If the City advises the Service Provider of any contravention of such legislation in writing, the Service Provider shall, within 10 (ten) days after receipt of such notice, take all steps necessary to remedy such contravention and shall keep the City informed regarding the steps taken and the implementation and the result thereof.

17.2 No employment

The Service Provider warrants that none of its personnel shall be regarded as employees of the City. The Service Provider shall assist to defend and bear all costs in the event that the City is required to defend a claim, whether civil or employment related, instituted against it by the Service Provider's personnel should the City defend the matter, the Service Provider hereby indemnifies the City against all and any costs (including attorney and own client costs) which may be incurred by or awarded against the City as a consequence of the defence of the claim.

17.3 Occupational Health and Safety Act, 1993

The Service Provider shall be responsible for ensuring compliance with all the provisions of the Occupational Health and Safety Act, 1993 and it indemnifies the City against any claim which may arise in respect of such Act by its personnel against the City.

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18 SUBCONTRACTING

- 18.1 The Service Provider may not Subcontract the whole of or any portion of the Services in terms of this Agreement to any third party without the prior written consent of the City.
- 18.2 In the event the Service Provider wishes to Subcontract the whole of or any portion of the Services in terms of this Agreement, it shall apply to the City in writing for consent to do so.
- 18.3 In its application, the Service Provider shall give the name of the Subcontractor, the Subcontractor's obligations, the proposed date of commencement of the Subcontract which shall include the fees payable to the Subcontractor, and a report of the background security check on the Subcontractor's suitability, financial and otherwise.
- 18.4 The City may, in its sole and absolute discretion refuse consent to Subcontract. In the event the City approves the Subcontracting of the whole of or any portion of the Services in terms of this Agreement, then:
- 18.4.1 the Service Provider shall ensure that the Subcontractor's B-BBEE level is equal or better than that of the Service Provider, their price is competitive and they have the capacity to provide the Service;
- 18.4.2 such Subcontracting shall not absolve the Service Provider from responsibility for achieving the Service Levels or complying with its obligations in terms of this Agreement and the Service Provider hereby indemnifies and holds the City harmless against any loss, harm or damage which the City may suffer as a result of such Subcontracting;
- 18.4.3 the Service Provider shall at all times remain the sole point of contact for the City in respect of the acquisition of Services by the City; and
- 18.4.4 no such Subcontracting shall have any effect on the Contract Price and charges payable by the City to the Service Provider in terms of this Agreement.

19 CONFIDENTIALITY

- 19.1 The Service Provider acknowledge that all information relating to the City confidential business and technical information, data, documents or other information necessary or useful for the carrying on by the City of its business which shall include, but shall not be limited to operating procedures, quality control procedures, approximate

operation personnel requirements, descriptions and trade names and trademarks, know how, techniques, technology, information relating to clients, customers, suppliers, relevant authorities, copyright, trade secrets and all goodwill relating to the business and any other intellectual property rights, technical data and documents in whole or in part, used by the City in respect of its business; ("Confidential Information"), shall remain confidential and shall not be made known unless the City has given written consent to do so.

19.2 The information provided by the City in the context of this Agreement is Confidential Information and the Service Provider shall take all reasonable measures to keep the information confidential and will only use the information for the purpose for which it was provided.

19.3 The Service Provider undertakes to not disclose any such Confidential Information. However, there will be no obligation of confidentiality or restriction on use where:

19.3.1 the information is publicly available, or becomes publicly available otherwise than by action of the receiving Party; or

19.3.2 the information was already known to the receiving Party (as evidenced by its written records) prior to its receipt under this or any previous agreement between the Parties or their affiliates; or

19.3.3 The information was received from a third Party not in breach of an obligation of confidentiality.

20 INTELLECTUAL PROPERTY RIGHTS

20.1 All Intellectual Property Rights of the Service Provider and/or third party vest in the Service Provider and/or third party, as appropriate.

20.2 All rights in the City name and logo remain the absolute property of the City.

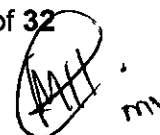
20.3 The Service Provider warrants that no aspect of the Services provided in terms thereof will infringe any Patent, Design, Copyright, Trade Mark or trade secret or other proprietary right of any third party.

20.4 The Service Provider shall promptly notify the City, in writing, of any infringement or apparent or threatened infringement or any circumstances which may potentially give rise to an infringement, or any actions, claims or demands in relation to any Intellectual Property Rights.

- 20.5 In the event the City becomes aware of any such infringement, the Service Provider shall, at its cost, defend the City against any claim that the Services infringe any such third party Intellectual Property Rights, provided that the City gives notice to the Service Provider of such claim and the Service Provider controls the defence thereof. The Service Provider further indemnifies the City against, and undertakes that it will pay all costs, damages and attorney fees, if any, finally awarded against the City in any action which is attributable to such claim and will reimburse the City with all costs reasonably incurred by the City in connection with any such action.
- 20.6 Should any claim be made against the City by any third party in terms of clause 20.1 above, the City shall give the Service Provider written notice thereof within 3 (three) days of becoming aware of such claim to enable the Service Provider to take steps to contest it.
- 20.7 Should any third party succeed in its claim for the infringement of any third party proprietary rights, the Service Provider shall, at its discretion and within 30 (thirty) days of the Services having been found to infringe, at its own cost:
- 20.7.1 obtain for the City the right to continue using the subject of infringement or the parts thereof which constitute the infringement; or
- 20.7.2 replace the subject of infringement or the parts thereof which constitute the infringement with another product or service which does not infringe and which is materially similar to the subject of infringement; or
- 20.7.3 alter the subject of infringement in such a way as to render it non infringing while still in all respects operating in substantially the same manner as the subject of infringement; or
- 20.7.4 withdraw the subject of infringement.

21 FORCE MAJEURE

- 21.1 For the purposes hereof, Force Majeure shall mean civil strife, riots, insurrection, sabotage, national emergency, acts of war of public enemy, rationing of supplies, flood, storm, fire or any other like forces of nature beyond the reasonable control of the party claiming Force Majeure and comprehended in the terms thereof.
- 21.2 If Force Majeure causes delays in or failure or partial failure of performance by a Party of all or any of its obligations hereunder, this Agreement shall be suspended for the period agreed in writing between the Parties.

 mv

- 21.3 In the event of circumstances arising which the other Party believes that it constitutes a Force Majeure ("the Affected Party") then such Affected Party shall send, within 5 (five) days from the interrupting circumstances, a written notice of the interrupting circumstances specifying the nature and date of commencement of the interrupting event to the other Party. The Parties shall agree, in writing, to suspend the implementation of this Agreement for a specific period ("Agreed Period").
- 21.4 In the event that both Parties reasonably believe that the Affected Party shall be unable to continue to perform its obligations after the Agreed Period, then either Party shall be entitled to terminate this Agreement without further notice to the other Party.
- 21.5 The Party whose performance is interrupted by the interrupting circumstances shall be entitled, provided that such party shall have given notice to that effect with a written notice of the interrupting circumstances as provided above, to extend the period of this Agreement by a period equal to the time that its performance is so prevented.

22 CESSATION

The Service Provider shall not be entitled to cede or assign or transfer in any other way and/or alienate its rights and obligations in terms of this Agreement without the prior written consent of the City.

23 CHANGE OF CONTROL / CIRCUMSTANCE

- 23.1 The Service Provider shall notify the City, in writing, of any change in the Service Provider's shareholding or membership or any change in the Service Provider's subsidiary companies or holding or its affiliates such change shall be considered a material change in the constitution and identity of the Service Provider. The City may terminate this Agreement upon becoming aware of such material change.
- 23.2 The Parties agree that should there be a change as envisaged in clause 23.1 above, the Service Provider will no longer exist and a new third party/entity shall have been constituted. In this regard, such third party shall not be entitled to inherit any of the Service Provider's rights and obligations in terms of this Agreement, which will only be transferred to the new entity in writing by the City following the City's satisfaction and approval in writing of such new entity.
- 23.3 The Service Provider shall further notify the City of any material changes or circumstance which might have led the City to appoint the Service Provider to Provide the Services. In the event that any material change or circumstance occurs

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and the Service Provider fails to inform the City of such a change or circumstance, the Service Provider shall be deemed to have breached a material term of this Agreement and the City shall be entitled to cancel the Agreement on 1 (one) month's prior notice.

24 BREACH

24.1 Subject to clause 23.3 above, should either Party commit a breach of any term of this Agreement ("the Defaulting Party") then the affected party ("Aggrieved Party") shall be entitled to inform the Defaulting Party in writing to remedy such failure or default within 5 (five) Business Days and should the Defaulting Party fail to remedy the breach within 5 (five) Business Days after receipt of the notice the so Aggrieved Party shall be entitled, without prejudice to any of its rights under this Agreement or law to:

24.1.1 immediately terminate this Agreement without giving written notice and claim damages (which shall include legal costs on an attorney/client scale); or

24.1.2 request specific performance and claim damages (which shall include legal costs on an attorney/client scale); or

24.1.3 impose penalties as provided for in clause 12 above.

25 EARLY TERMINATION

The City shall have the right to terminate this Agreement by giving 30 (thirty) days' notice in writing to the Service Provider of its intention to terminate the Agreement.

26 DISPUTES

26.1 Save for clause 24 above or any other clause in this Agreement which provides for its own remedy, should any dispute arise between the Parties in respect of or pursuant to this Agreement, including, without limiting the generality of the a foregoing, any dispute relating to:

26.1.1 the interpretation of the Agreement;

26.1.2 the performance of any of the terms of the Agreement;

26.1.3 any of the parties' rights and obligations;

26.1.4 any procedure to be followed;

26.1.5 the termination or cancellation or breach of this Agreement; or

- 26.1.6 the rectification or repudiation of this Agreement; then any Party may give the other Party written Party written notice of such dispute, in which event the provisions below shall apply.
- 26.2 Within 7 (seven) days of the declaration of such dispute, the Parties representatives or their nominated persons shall meet in the spirit of goodwill and endeavour to resolve the dispute, failing which (and without prejudice to any other alternative dispute resolution to which the Parties may agree, either prior to or concurrently with arbitration) the provisions of this clause 26 shall apply.
- 26.3 If the Parties are unable to resolve the dispute within 14 (fourteen) days of the notice of the dispute (or such longer period as they may have agreed to in writing), then either Party may, on written notice to the other Party, require that the dispute be submitted to and decided by arbitration, in terms of the Arbitration Act, 42 of 1965 of South Africa ("the Arbitration Act").
- 26.4 The arbitration shall be held under the provisions of the Arbitration Act provided that the arbitration shall be:
- 26.4.1 at any place which the Parties agree, in writing, to be mutually convenient.
- 26.4.2 in accordance with such formalities and/or procedures as may be settled by the arbitrator and may be held in an informal and summary manner, on the basis that it shall not be necessary to observe or carry out the usual formalities of procedure, pleadings and/or discovery or respect rules of evidence.
- 26.5 If the arbitration is:
- 26.5.1 a legal matter, then the arbitrator shall be a practicing advocate or a practicing attorney of not less than 10 (ten) years' standing;
- 26.5.2 an accounting matter, then the arbitrator shall be a practicing chartered accountant of not less than 10 (ten) years' standing; and
- 26.5.3 any other matter, then the arbitrator shall be any independent person agreed upon between the parties.
- 26.6 Should the Parties fail to agree on an arbitrator within 14 (fourteen) days after the arbitration has been demanded, then the arbitrator shall be nominated at the request of either of the Parties, by the president / chairperson for the time being of the Legal Practice Council of South Africa.

- 26.7 Should the Parties fail to agree whether the dispute is of a legal, accounting or other nature within 7 (seven) days after the arbitration has been demanded, then it shall be deemed to be a dispute of a legal nature.
- 26.8 The arbitrator may:
- 26.8.1 investigate or cause to be investigated any matter, fact or thing which he considers necessary or desirable in connection with the dispute and for that purpose, shall have the widest powers of investigating all documents and records of any party having a bearing on the dispute;
 - 26.8.2 interview and question under oath the parties or any of their representatives;
 - 26.8.3 decide the dispute according to what he considers just and equitable in the circumstances; and
 - 26.8.4 make such award, including an award for specific performance, damages or otherwise, as he in his discretion may deem fit and appropriate. The arbitration shall be held as quickly as possible after it is requested, with a view to it being completed within 30 (thirty) days after it has been so requested.
- 26.9 The arbitrator's decision and award shall be in writing with reasons and shall be final and binding upon the Parties.
- 26.10 The arbitrator's award may, on application by either Party to a court of competent jurisdiction and after due notice is given to the other Party, be made an order of court.
- 26.11 Notwithstanding the provisions of clauses 26.1, 26.2, 26.3, 26.4, 26.5, 26.6 and 26.7 above, in the event of either Party having a claim against the other Party for a liquidated amount or an amount which arises from a liquid document, or for an interdict or other urgent relief, then the other Party having such a claim shall be entitled to institute action therefore in a court of law rather than in terms of the above clauses, notwithstanding the fact that the other Party may dispute the claim.
- 26.12 The provisions of this clause 26 are severable from the rest of this Agreement and shall remain in effect even where this Agreement is terminated or cancelled for any reason.

27 LAWS AND JURISDICTION

- 27.1 This Agreement shall be governed by and interpreted according to the Law of the Republic of South Africa.
- 27.2 Each Party submits to the exclusive jurisdiction of the South African courts in respect of any matter arising from or in connection with this Agreement including its termination. Each Party further consents to the jurisdiction of the High Court of South Africa (North Gauteng High Court (Pretoria)).

28 NOTICES AND COMMUNICATIONS

- 28.1 The Parties choose as their respective *domicilium citandi et executandi* (hereinafter referred to as the "*domicilium*") and for the delivery of any notices arising out of the Agreement or its termination or cancellation, whether in respect of court process, notices or other documents or communications of whatsoever nature (including the exercise of any option), the address set out below:

28.1.1 THE CITY:

Office of the City Manager
Block D, 2nd Floor
Tshwane House
320 Madiba Street
Pretoria
P O Box 6338
Pretoria, 0001.
Fax: (012) 358 1112/6660
Email: citymanager@tshwane.gov.za
Attention: Mr Karabo Morake
Cell phone: 082 315 – 3621
Tel: (012) 358 – 0843
Email: karabomor@tshwane.gov.za

28.1.2 THE SERVICE PROVIDER:

285 Erasmus Avenue,
Raslouw A. H, Centurion

0157

Attention: Mr Muzi Vincent Lukhele

Cell phone: 073 124 – 1535

Telephone: (012) 880 – 3155

Fax: 086 603 – 7935

Email: info@sithembe.co.za

28.2 Each Party shall be entitled from time to time, by written notice to the other Party, to vary its *domicilium* to any other address which is not a Post Office Box or a Poste Restante.

28.3 Any notice given and any payment made by any Party to another Party (hereinafter referred to as "the addressee") which:

28.3.1 is delivered by hand during normal business hours of the addressee at the addressee's *domicilium*, shall be deemed, until the contrary is proved by the addressee, to have been received by the addressee at the time of delivery;

28.3.2 is posted by prepaid registered post to the addressee at the addressee's *domicilium* shall be deemed, until the contrary is proved by the addressee, to have been received on the 7th (seventh) day after the date of posting.

28.3.3 is sent by email or facsimile machine shall be deemed, until the contrary is proven by the addressee, to have been received within 1 (one) hour of transmission where it is transmitted during business hours of the receiving instrument and at noon on the following business day (excluding Saturdays) where it is transmitted outside such business hours.

28.4 Any notice or communication required or permitted in terms of this Agreement shall be valid and effective only if in writing but it shall be competent to give notice by facsimile.

28.5 Notwithstanding anything to the contrary in this Agreement a notice or communication actually received by one Party shall be an adequate notice or communication notwithstanding that it was not sent to or delivered at the chosen *domicilium citandi et executandi*.

29 GENERAL AND MISCELLANEOUS

29.1 SOLE RECORD OF AGREEMENT



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This Agreement constitutes the sole record of the agreement between the parties with regard to the subject matter hereof. No party shall be bound by any express or implied term, representation, warranty, promise or the like not recorded herein.

29.2 NO AMENDMENT EXCEPT IN WRITING

No addition to, variation of, or agreed cancellation of, this Agreement shall be of any force or effect unless in writing and signed by or on behalf of the parties. Any alleged waiver of this requirement must itself be reduced to writing and signed by the relevant party to be of any effect.

29.3 WAIVERS

No relaxation or indulgence which any party may grant to any other shall constitute a waiver of the rights of that party and shall not preclude that party from exercising any rights which may have arisen in the past or which might arise in future.

29.4 SURVIVAL OF OBLIGATIONS

Any provision of this Agreement which contemplates performance or observance subsequent to any termination or expiration of this Agreement shall survive any termination or expiration of this Agreement and continue in full force and effect.

29.5 APPROVALS AND CONSENTS

An approval or consent given by a party under this Agreement shall only be valid if in writing and shall not relieve the other party from responsibility for complying with the requirements of this Agreement nor shall it be construed as a waiver of any rights under this Agreement except as and to the extent otherwise expressly provided in such approval or consent, or elsewhere in this Agreement. Any alleged waiver of the requirement that the approval or consent must be in writing must itself be reduced to writing and signed by the relevant party to be of any effect.

30 EXECUTION

30.1 This Agreement may be executed in several counterparts, which shall each be deemed an original, but all of which shall constitute one and the same instrument. A facsimile shall constitute a valid counterpart for all purposes hereunder.

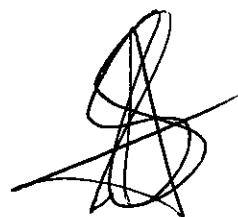
30.2 The signatories to this Agreement by their signature warrant their authority to enter into this Agreement and the capacity of their principal, if signing in a representative capacity, to enter into this Agreement.

Signed at on this day of 2024.

Witnesses

1.

2.



Mr. Musa Khumalo: Group Head:
Shared Services for and on behalf of
the **City of Tshwane Metropolitan**
Municipality, and duly authorised
thereto.

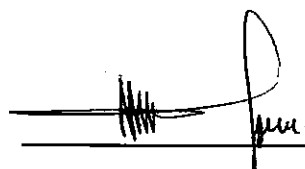
Signed at PRETORIA on this 26 day of JULY 2024.

Witnesses



1.

2.



Mr Muzi Vincent Lukhele: Director for
and on behalf of **Sithembe**
Transportation and Projects (Pty) Ltd
and duly authorised thereto.

ANNEXURE "A"

RESOLUTION OF THE BOARD

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285 Erasmus Avenue, Raslouw, A.H Centurion 0157
(012) 880 3155 | (073) 124 1535
info@sithembe.co.za | www.sithembe.co.za
Reg No: 2013/029173/07 | VAT: 4070272101

CERTIFICATE OF AUTHORITY FOR SIGNATORY

By resolution of the board of directors, on 16 May 2024 at – Centurion, 0157, Mr Muzi Vincent Lukhele whose signature appears below, has been duly authorized to sign all documents in connection with the tender.

TENDER NUMBER: SS 01-2023/24

TENDER DESCRIPTION: TENDER FOR THE CORPORATE HIRE OF GENERAL CONSTRUCTION VEHICLES AND REFUSE REMOVAL VEHICLES FOR THE CITY OF TSHWANE: AS AND WHEN REQUIRED: THREE (3) YEAR PERIOD: WITH EFFECT FROM 01 MAY 2024 OR NEAREST DATE

SIGNED ON BEHALF OF THE COMPANY:

SITHEMBE TRANSPORTATION & PROJECTS

IN HIS CAPACITY AS: DIRECTOR

DATE: 16 MAY 2024

SIGNATURE OF SIGNATORY:

WITNESSES: 1

2

ANNEXURE "B"

SCOPE OF WORK

The Scope of Work as contained in the Bid Documents / Tender document of tender / bid number: SS 01 – 2023/24 is hereby incorporated by reference and the Service Provider is appointed for vehicles indicated in the Appointment Letter.

ANNEXURE "C"

APPOINTMENT LETTER